

ASML: ASML Holding N.V.

Monopoly in EV Lithography · Best-in-Class Growth · Capital Efficiency

NTM P/E	Fwd 2-Yr EPS CAGR	Net Debt/EBITDA	ROE 2026E
40.9x	28.7%	(0.67x)	54.7%
Next Twelve Months	2-Year Forward	Net Cash Position	FY2026 Estimate

THE QUANTITATIVE GROWTH ENGINE

ASML is not merely an equipment manufacturer; it is the gatekeeper of the global semiconductor roadmap. With an unrivaled competitive moat in EUV lithography and consistent structural tailwinds, ASML represents the gold standard of high-growth technology compounders. Our models flag this as a **high-conviction Growth play**, despite current valuation premiums.

Value Score	Growth Score	ROE 2026E	Net Debt/EBITDA
19/100	86/100	54.7%	(0.67x)
Priced for perfection	Top-tier growth profile	FY2026 Estimate	Net cash — fortress

1 · Structural Growth & Profitability

ASML demonstrates the rare ability to scale revenue while aggressively expanding profitability.

- **Top-Line Momentum:** Revenue is projected to grow +19.4% in 2026, reaching over €39 billion.
- **Operating Leverage:** EBIT margins are expected to expand to 36.4% in 2026, showcasing the company's ability to maintain premium pricing in a supply-constrained environment.
- **Earnings Inflection:** Forward EPS growth of 28.7% (2-year CAGR) positions ASML as a superior growth vehicle within the tech universe.

2 · Best-in-Class Capital Efficiency

ASML's ability to generate returns on capital is exceptional, screening out almost all peers in the industrial/tech space.

- **ROE Expansion:** Return on Equity is forecast to jump from 49.3% in 2025 to 54.7% in 2026.
- **Balance Sheet Fortress:** With a net cash position (Net Debt/EBITDA of -0.67x), the company possesses the financial flexibility to fund continuous R&D without relying on external capital markets.

3 · Valuation & Market Context

The low **Value Score (19/100)** confirms that ASML is priced for perfection. However, for growth-oriented mandates, this valuation is justified by the company's monopoly status.

- **Premium Multiples:** Trading at 40.9x NTM P/E, the market rewards ASML's predictable long-term revenue visibility.
- **Investment Case:** While traditional "value" investors may shy away, our quantitative scoring highlights ASML as a fundamental "must-own" for high-conviction growth portfolios looking for exposure to the semiconductor backbone.

The Bottom Line

ASML is a quintessential compounder. In an era where technological sovereignty is a national security priority, ASML's dominance in lithography provides a structural floor to its valuation. While the entry point requires patience due to the high P/E, the growth trajectory (Growth Score 86/100) and operational efficiency make it a core anchor for long-term institutional portfolios.

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